

LBO Case Competition

UConn School of Business

LBO Build Guide

Fall 2026

Reference for Developing Your Investment Case

Student Reference



What Is a Leveraged Buyout?

A buyer acquires a company using a combination of equity and borrowed money.

Buyer

A financial sponsor, usually a private equity firm, takes control of the business. The sponsor contributes its own investment, called equity, alongside borrowed money.

Business

The company must generate enough cash to fund operations, reinvest and meet its debt obligations.

Exit

The sponsor eventually sells its investment. The sale value, remaining cash, debt and exit costs determine the sponsor's proceeds.

In this competition, your team develops and defends the sponsor's investment decision.

Why Pursue an LBO?

The sponsor aims to earn an attractive return by buying at a sensible price and improving the investment over time.

Business Improvement

Stronger operations can increase earnings and cash flow. The plan needs a credible explanation of how that happens.

Debt Repayment

Cash used to reduce debt can increase the equity value available at exit, even without a higher sale value.

Investment Discipline

Borrowing reduces the equity needed upfront, but interest and repayments also increase financial risk.

More debt can amplify both gains and losses. A strong return forecast alone does not make a sound deal.

Simple Equity Return Example

All amounts are illustrative. Assume a five-year investment with no interim distributions.

	At Purchase	At Exit
Enterprise value (business value)	\$100 million	\$120 million
Debt	\$60 million	\$40 million
Equity value (after debt)	\$40 million	\$80 million

2.0× MOIC

\$80 million received ÷ \$40 million invested. MOIC means multiple on invested capital.

14.9% IRR

IRR means internal rate of return. Doubling the investment over five years equals about 14.9% a year.

Simplified teaching example, separate from the model template. Excludes cash, transaction costs and taxes at exit.

What Makes a Promising LBO Candidate?

Demand	How predictable are sales, and what could cause customers to leave?
Competitive Position	Why can this company sustain its pricing and profitability?
Cash Generation	How much cash remains after the business funds necessary investment?
Improvement Potential	What could a new owner realistically improve, and at what cost?
Purchase Price	Does the price leave room for a return under reasonable assumptions?
Downside Resilience	Could the company still meet its obligations if performance weakens?

Competition Target Boundaries

Choose a public company with an enterprise value of \$500 million to \$10 billion.

Eligible Scope

Exclude utilities, commodities companies, REITs and highly regulated sectors, including healthcare and telecommunications.

A business with substantial capital spending can still qualify if its cash flow supports both investment and debt service.

Before Committing

Check the prior-target exclusions at the end of this guide.

Submit the proposed company name on October 2 for a fit check. This is an initial selection, not a completed investment case.

These are competition boundaries. They are not universal rules about which businesses can undergo an LBO.

Evidence That Supports a Forecast

Start with company filings and investor materials, then use industry and peer evidence to test the story.

Reported Results	What the company has already earned, spent and generated in cash.
Management Guidance	What management expects. Consider its assumptions and track record.
External Estimates	Analyst or consensus forecasts. Identify the source and period covered.
Your Team's Assumptions	Your judgment about the future. Explain material differences from the evidence.

Cite material evidence in your memo and presentation. Label historical results and forecasts clearly, with consistent units and periods.

Library Resources for Company Research

Start through UConn Library's database guides. Choose the source that answers your research question.

The logo for S&P Global, featuring the text "S&P Global" in a bold, red, sans-serif font.

guides.lib.uconn.edu/ciq

The logo for PitchBook, featuring a blue icon of a stylized 'P' followed by the text "PitchBook" in a bold, blue, sans-serif font, and "a Morningstar company" in a smaller, blue, sans-serif font below it.

guides.lib.uconn.edu/pbook

The logo for PREQIN, featuring the text "PREQIN" in a large, bold, white, sans-serif font, and "a part of BlackRock" in a smaller, white, sans-serif font below it, all on a dark blue background.

guides.lib.uconn.edu/preqin

Public-company screening, financial statements, analyst estimates and comparable-company valuation.

Transactions, buyers and private equity sponsors. Use relevant deals to inform your transaction rationale and valuation.

Private-market funds, performance and market context. Fund-level returns are different from your target-company forecast.

[Off-Campus Access and Help: UConn Library](#)

Follow each guide's access instructions; use NetID and Duo when prompted.

Capital IQ: From Shortlist to Investment Case

Use Company Screening to find candidates, or search for a company by name or ticker. Apply the competition's eligibility rules.

Key Stats and Financials	Review historical revenue, profitability, debt and valuation. Use the statements to assess cash generation, capital spending and working capital.
Quick Comps	Explore peers and possible alternative targets. Compare trailing and forward multiples, then select peers that fit the business.
Consensus Estimates	Review available annual or quarterly forecasts. They provide a reference for your assumptions, not a completed investment case.
Research and Filings	Read useful research, including recent initiating coverage when available. Check reported facts against company filings and investor materials.

Menu labels and coverage may vary. Missing analyst coverage is a research limitation, not a reason to invent estimates.

Consensus Estimates and Your Forecast

Consensus summarizes analysts' forecasts for a company. It helps you assess expected growth and profitability before choosing your own assumptions.

Understand the Estimate

Check the metric, fiscal period, units and estimate dates. Distinguish the mean from the median.

Where available, compare the range and number of contributors. A single figure can hide disagreement or thin coverage.

Carry the conclusion into forecast growth, margins and cash flow, then explain the reasoning in your memo. Consensus is a reference point, not a guarantee.

Form Your Own View

Compare consensus with management guidance, historical results and the research behind different views.

Explain material departures in your model. Use credible differences to inform the base case and downside; justify years beyond available estimates.

Each Document Has a Different Purpose

Build Guide (PDF)	Questions and concepts to help you develop and challenge the investment case.
LBO Model (Excel)	The calculations. Start with Read Me First for input conventions and detailed model guidance.
Flash Memo (PowerPoint)	A concise summary of the business, investment rationale and LBO analysis. Its slide notes explain each section.
Kickoff Slides (PDF)	An orientation to the competition, key dates and working with your mentor. Shared after the kickoff.

Use the same assumptions across the model, memo and presentation. Update figures in each document when your analysis changes.

Purchase Price and Valuation

Value and Price

Enterprise value measures the value of the operating business. Equity value is the amount attributable to shareholders after allowing for debt, cash and other claims.

A purchase premium is the amount offered above the reference share price. Support the premium with evidence rather than a preset percentage.

Evidence to Consider

Compare valuation with relevant peers and transactions. Explain differences in growth, margins, risk and business mix.

The entry multiple often compares enterprise value with EBITDA: earnings before interest, taxes, depreciation and amortization.

Carry your purchase-price conclusion into the model's entry assumptions and the memo's transaction rationale.

Debt Capacity Follows the Business's Cash Flow

Financing Decision

Sources show where the funding comes from. Uses show what the transaction pays for. The totals must agree.

Use the supplied first-lien loan terms and fixed SOFR curve. Size debt for your target and support permitted fee changes with evidence. Senior unsecured notes are optional debt.

Case for More Debt

Stable, predictable cash flow and manageable reinvestment needs may support debt above 5.0× EBITDA for the last twelve months.

Explain why the company can sustain that debt. Support your case with evidence, all five financing tests, and a downside scenario that still funds essential investment and debt service.

Additional debt can increase sponsor returns, but it also increases repayment risk. A higher return alone is not enough.

Forecasts Should Explain How the Business Works

Begin with the latest completed fiscal year. Use three historical years and five forecast years; sample dates are not company results.

Revenue

What changes in volume, pricing, customer mix or business segments support the sales forecast?

Margins

What drives profitability?
Explain why costs rise or fall relative to sales, including any costs of improvement.

Reinvestment

What capital spending and working capital does growth require? Expansion may consume cash before it earns a return.

Working capital is cash tied up in receivables and inventory, partly offset by operating payables.

Profit and Cash Available for Debt Are Different

From Earnings to Cash

EBITDA is a starting point. Interest, taxes, capital spending and working capital affect cash available for debt repayment.

Capital expenditure (CapEx) funds long-lived assets such as equipment. The model uses zero cash tax in loss years and does not carry tax losses into later years.

From Cash to Debt Balances

The sample first-lien loan requires annual principal repayments, called amortization, of 1% of the original loan. Additional repayment depends on available cash and your assumptions.

Seven years is the loan's maturity, not a straight-line payoff schedule. The sample investment exits after five years.

Cash retained by the company cannot also be distributed to the sponsor. Track each use of cash.

Exit Value and Sponsor Returns

The sample model sells the investment at the end of Year 5. Remaining debt still matters at that point.

Exit enterprise value + cash – remaining debt – exit costs = equity proceeds

MOIC

Total sponsor proceeds divided by invested equity. It measures how many times the sponsor gets its investment back.

Support the exit valuation with evidence. Test a flat or lower valuation multiple so the case does not rely on multiple expansion.

IRR

IRR reflects the timing of the sponsor's investment and receipts. Receiving the same proceeds sooner produces a higher annual return.

How Much Can Go Wrong Before the Deal Struggles?

Downside Scenario

Combine plausible setbacks, such as slower sales and lower margins, with any realistic management response.

Review cash balances, interest coverage and the ability to repay debt before focusing on the equity return.

Sensitivity Analysis

Change selected assumptions, such as entry price or exit multiple, to see which ones matter most.

Explain the result in business terms. Which assumption would change your recommendation?

A downside case tells a coherent business story. A sensitivity table isolates the effect of selected assumptions.

Technology and Value Creation

New for Fall 2026, this optional component explores how technology could improve the target's business.

Opportunity

Consider how the company already uses technology and whether a further application could improve revenue, productivity or margins.

Connect the idea to the company's business and credible evidence. Limited disclosure alone does not prove a technology gap.

Contribution to the Case

You can discuss the opportunity without changing the model. If you quantify it, reflect implementation costs, timing and any ongoing expense.

Avoid counting benefits already included in the forecast. The optional fourth Flash Memo slide gives you room to explain the idea.

Professional Partnership with Your Mentor

Your mentor volunteers experience and time to support your team. Students lead the research and preparation.

Useful Conversation

Bring your current view, the evidence behind it and the questions you want to explore.

Mentors can challenge assumptions and offer perspective.

Arrange meetings around your mentor's availability, usually weekly or every other week.

Raise communication or scheduling difficulties with Professor Ghaddar early so the team can get support.

Thoughtful Follow-Through

Write clear, appreciative emails. Share a short agenda and relevant work ahead of meetings.

Afterward, thank your mentor, follow through on agreed actions and explain how the feedback informed your analysis.

Flash Memo: Summarizing the Investment Case

Use the supplied template and its slide notes. The October 23 submission has three core slides and an optional fourth.

- | | |
|-------------------------------------|---|
| 1. Company Overview | Explain the business and target fit, summarize financial performance and present the investment thesis and transaction rationale. |
| 2. Business Segments | Show how the business earns revenue, including its major customers and geographic exposure. |
| 3. Short Form LBO Analysis | Summarize funding, financing assumptions, cash flow and sponsor returns. |
| 4. Optional Technology Slide | Explain a relevant opportunity for technology and value creation, if your team chooses to explore it. |

The tables are editable examples. Replace them with your analysis and check that the figures agree with the Excel model.

Defending Your Recommendation

An effective presentation explains why the proposed investment is attractive and where it could fail.

Investment Case

Make the target, purchase price and improvement plan understandable. Show how the forecast supports the financing and return.

Use evidence selectively and explain the assumptions that matter most.

The semifinal runs 9:30 a.m.–3:30 p.m. ET. Each team joins for its assigned slot.

Discussion

Be ready to explain the main risks, the downside outcome and what would change your recommendation.

For the November 6 Zoom semifinal, prepare 8–10 slides for your assigned 30-minute slot, including discussion.

Final Review of the Investment Case

Business	Can another reader understand how the company earns money and why it is a suitable target?
Evidence	Are the main claims supported, and are team assumptions distinguishable from reported facts?
Model	Do funding and cash movements reconcile? Have you reviewed the workbook's checks and tested a downside?
Judgment	Can you explain the return without relying on an implausible purchase price or exit value?
Consistency	Do the model, Flash Memo and presentation use the same assumptions and figures?
Recommendation	Is it clear why you would pursue the deal, and what could change that conclusion?

Review your assumptions even when Calculation Integrity passes. Decision Readiness remains NEEDS INPUT.

Prior Competition Targets Are Excluded

Choose a different company from those listed below.

ITT
Schneider National
EnerSys
PowerSchool
National Fuel Gas
Academy Sports and
Outdoors

Alamo Group
ICU Medical
Stag Industrial
Flowers Foods
Atkore
Vestis

Concentrix
JELD-WEN
CoreCivic
Box
Celsius Holdings
1-800-FLOWERS.COM

Confirm target eligibility before investing substantial time in the model.

Supplied Financing Terms

Leverage and Equity	Use 5.0× debt / last-twelve-month EBITDA as the baseline, with sponsor equity of at least 30% of total sources. Above 5.0×, support all five conditions on the final page.
First-Lien Term Loan	Seven-year maturity; SOFR + 3.75% (375 basis points); annual principal repayment of 1% of the original loan. Size the loan for your target.
Original Issue Discount	The supplied 1% OID means \$99 of proceeds for every \$100 of debt. It is separate from principal repayment and upfront fees.
SOFR Curve and Floor	Use the supplied three-month SOFR curve as of August 13, 2026, with the supplied 0% floor. Keep the gray curve rates in their existing columns even if fiscal-year dates change.

The gray SOFR curve is fixed. Explain and support material changes to editable financing inputs with dated evidence.

Fees, Optional Notes and Cash

Unused Revolver Fee	The supplied annual fee is 1% of unused revolver capacity. It is separate from interest on drawn debt.
Upfront Fees	Sample one-time fees at closing: revolver 1.25%, first-lien loan 2.25%, notes 3.0%. Support changes with evidence.
Optional Notes	The sample uses eight years, 7.5% fixed interest, zero OID and no scheduled annual amortization or optional prepayment. The \$355 million amount is illustrative.
Optional Repayment	Defaults to 0% of excess cash. If used, it repays the revolver first, then the first-lien loan. It does not repay the notes.
Sponsor Distributions	The model has no interim sponsor distributions. Retained cash stays in the company and is included in sponsor proceeds at exit.

Read Me First explains the calculation mechanics and input conventions. Sample dollar amounts are not required financing amounts.

Higher Leverage Requires Additional Support

Propose debt above 5.0× EBITDA only when company evidence and your model support all five conditions below.

Interest Coverage	EBITDA / interest expense: at least 2.0×.
Coverage after Investment	(EBITDA – capital expenditure) / interest expense: at least 1.5×.
Cash Flow Relative to Debt	Year 1 levered free cash flow / total debt: At least 1.5%; 2.0% or higher preferred.
Debt Repayment Capacity	Credible capacity to repay 50% of total debt over the projection period.
Sponsor Equity	At least 30% of total sources.

The minimum is \$1.50 of Year 1 levered free cash flow per \$100 of debt. \$2.00 or more provides a larger cushion.